

THE

Coca-Cola

COMPANY



Group 5

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Background



Founded

May 8, 1886
Atlanta, Georgia
Dr. John Stith Pemberton



Company Purpose

“Refresh the world. Make a difference.”

1. To create brands loved by the people
2. Change the world positively/more sustainable future for the planet
3. Improve the lives of the people



Revenue

1. Selling concentrates/syrups to bottling partners
2. Selling finished products to customers in various channels
3. Licensing agreements for its trademarks and brands



Company Activities

Water Distribution
Recycling
Agriculture
Reducing Emissions
Environment Preservation

Accounting Practices

- **Equity Method:** account for investments in associated undertakings
- **Net Sales Revenue:** value is based on what was actually received or expected to be received, and it's mostly in the form of discounts or special deals given to encourage people to buy or act
- **Interest Income/Expense:** using the effective interest rate method



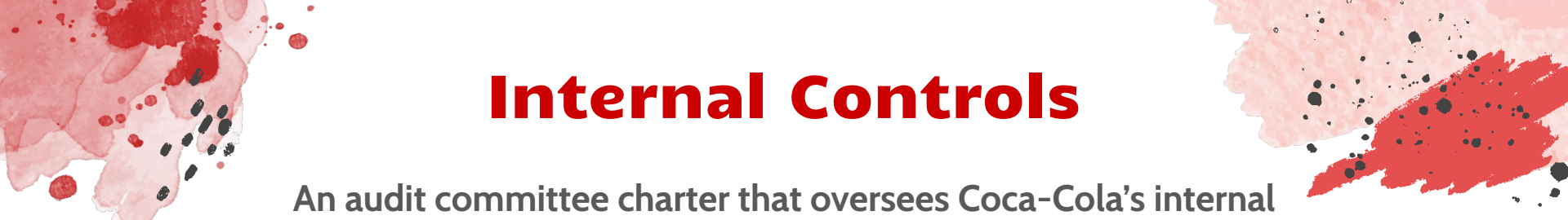
Accounting Practices

- **Earnings per Share:** dividing total profit that belongs to company's owners by avg number of shares in circulation over the year
- All property, plant and equipment, initially recorded at cost
 - Assets under construction recorded as part of property (plant, equipment, depreciation)
 - Commences when assets are available for use
- **Equity:** Coca Cola only has one class of shares - ordinary shares
 - Recorded in share capital at par value
 - Excess recorded in share premium reserve
- **Dividends:** recorded in group's consolidated financial statements



Financial Reporting

- Files 10-K and 10-Q
- Reporting under the US Generally Accepted Accounting Principles(GAAP)
- Financial statements include the income statements, balance sheet, and Statement of Cash Flow



Internal Controls

An audit committee charter that oversees Coca-Cola's internal controls and their effectiveness and ensure quality financial reports.



Evaluate

Evaluate performance of independent auditors as well as internal auditors in terms of quality and efficiency.

Oversee

Oversee risks related to financial reporting.



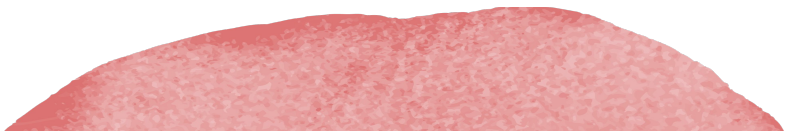
Review

Review financial statements and other financial reportings prior to filing 10-Q and 10-K



Ensure

Ensure effectiveness of compliance programs such as Coca Cola Company's Codes of business Conduct.



A look at financial statements as an investor

Remember - the purpose of financial statements is to inform investors about the company's financial status and health.



Income Statement

Determine whether the company was able to generate profit throughout the year

- Coca Cola was profitable, however with a slight decrease in net income form 2023 to 2024

Year Ended December 31,	2024	2023	2022
Net Operating Revenues	\$ 47,061	\$ 45,754	\$ 43,004
Cost of goods sold	18,324	18,520	18,000
Gross Profit	28,737	27,234	25,004
Selling, general and administrative expenses	14,582	13,972	12,880
Other operating charges	4,163	1,951	1,215
Operating Income	9,992	11,311	10,909
Interest income	988	907	449
Interest expense	1,656	1,527	882
Equity income (loss) — net	1,770	1,691	1,472
Other income (loss) — net	1,992	570	(262)
Income Before Income Taxes	13,086	12,952	11,686
Income taxes	2,437	2,249	2,115
Consolidated Net Income	10,649	10,703	9,571
Less: Net income (loss) attributable to noncontrolling interests	18	(11)	29
Net Income Attributable to Shareowners of The Coca-Cola Company	\$ 10,631	\$ 10,714	\$ 9,542
Basic Net Income Per Share¹	\$ 2.47	\$ 2.48	\$ 2.20
Diluted Net Income Per Share¹	\$ 2.46	\$ 2.47	\$ 2.19
Average Shares Outstanding — Basic	4,309	4,323	4,328
Effect of dilutive securities	11	16	22
Average Shares Outstanding — Diluted	4,320	4,339	4,350

Balance Sheet

Shows what a company owns, what it owes and the part that the shareholders own.

A way to track a company's performance and analyze different trends

Coca Cola's Balance Sheet

December 31,	2024	2023
ASSETS		
Current Assets		
Cash and cash equivalents	\$ 10,828	\$ 9,366
Short-term investments	2,020	2,997
Total Cash, Cash Equivalents and Short-Term Investments	12,848	12,363
Marketable securities	1,723	1,300
Trade accounts receivable, less allowances of \$506 and \$502, respectively	3,569	3,410
Inventories	4,728	4,424
Prepaid expenses and other current assets	3,129	5,235
Total Current Assets	25,997	26,732
Equity method investments	18,087	19,671
Deferred income tax assets	1,319	1,561
Property, plant and equipment — net	10,303	9,236
Trademarks with indefinite lives	13,301	14,349
Goodwill	18,139	18,358
Other noncurrent assets	13,403	7,796
Total Assets	\$ 100,549	\$ 97,703
LIABILITIES AND EQUITY		
Current Liabilities		
Accounts payable and accrued expenses	\$ 21,715	\$ 15,485
Loans and notes payable	1,499	4,557
Current maturities of long-term debt	648	1,960
Accrued income taxes	1,387	1,569
Total Current Liabilities	25,249	23,571
Long-term debt	42,375	35,547
Other noncurrent liabilities	4,084	8,466
Deferred income tax liabilities	2,469	2,639
The Coca-Cola Company Shareowners' Equity		
Common stock, \$0.25 par value; authorized — 11,200 shares; issued — 7,040 shares	1,760	1,760
Capital surplus	19,801	19,209
Reinvested earnings	76,054	73,782
Accumulated other comprehensive income (loss)	(16,843)	(14,275)
Treasury stock, at cost — 2,738 and 2,732 shares, respectively	(55,916)	(54,535)
Equity Attributable to Shareowners of The Coca-Cola Company	24,856	25,941
Equity attributable to noncontrolling interests	1,516	1,539
Total Equity	26,372	27,480
Total Liabilities and Equity	\$ 100,549	\$ 97,703

Statement of Cash Flow

Assess how much cash a company is able to generate

- Cash and cash equivalents are the most liquid assets, necessary for a company to have enough cash to pay for expenses/ liabilities and to invest.

Coca Cola had a cash inflow of about 1462 million dollars more than last year!

Net increase (decrease) in cash, cash equivalents, restricted cash and restricted cash equivalents during the year	1,796	(133)	(200)
Cash, cash equivalents, restricted cash and restricted cash equivalents at beginning of year	9,692	9,825	10,025
Cash, Cash Equivalents, Restricted Cash and Restricted Cash Equivalents at End of Year	11,488	9,692	9,825
Less: Restricted cash and restricted cash equivalents at end of year	660	326	306
Cash and Cash Equivalents at End of Year	\$ 10,828	\$ 9,366	\$ 9,519

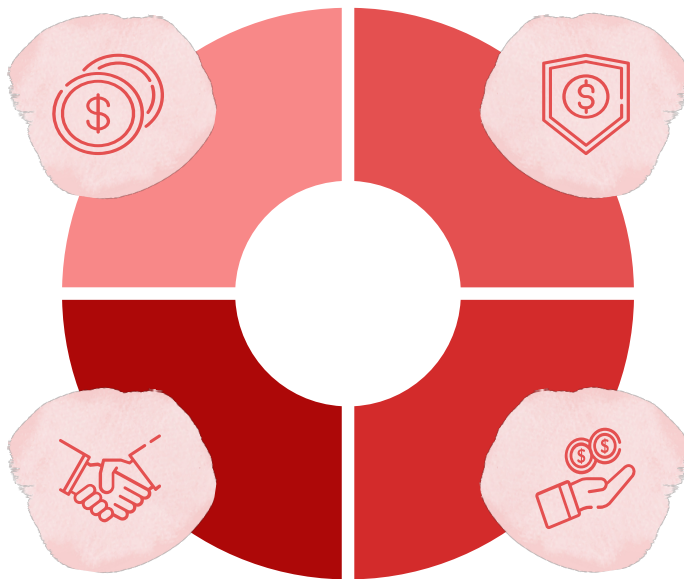
Financial Highlights

Revenue

Quarter: ↑ 6% to \$11.5 billion
Full: ↑ 3% to \$47.1 billion

Operating Margins

Quarter: 23.5% vs 21.0% in prior year
Full: 21.2% vs 24.7% in prior year



Earnings per Share

Quarter: ↑ 12% to \$0.51
Full: ↓ to \$2.46

Cash Flow

Full:
operations - \$6.8 billion
free cash flow
(non-GAAP) - \$4.7 billion
Both ↓ vs prior year, due to ongoing tax litigation

Accounting Ethics

Coca Cola focuses on...



Possible Fraud/Concerns



**Gallon
Pushing**



**Transfer
Pricing**



**Deceptive
Marketing**



Gallon Pushing

- 2005, Securities and Exchange Commission (SEC) and Coca Cola
- Practice where bottlers wanted to ship large amounts of product before the quarter end
 - Inflates current sales and impacting future earnings
- Criticized company's failure to disclose full impact



Transfer Pricing

- Transaction pricing is concerning between US and foreign operations
- IRS has accused Coca Cola of improperly shifting profits
- Coca Cola disputed and is appealing



Deceptive Marketing

- Quietly dropping sustainability initiatives after announcing otherwise
 - Misleading claims about the recyclability of plastic bottles

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